

China Pharma and Biotech

Akeso Inc

Rating

Market-Perform

Price Target

📈 9926.HK

104.00 HKD (130.00 OLD)



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Akeso: HARMONi-3-sq readout is the next test, not the last word

HARMONi-3-sq readout in 2H26: tactical opportunity, but OS remains the real test. The next 6–9 months should provide a **two-step validation, or invalidation**, of ivonescimab's global 1L sq-NSCLC opportunity: final PFS with an early look at OS in 2H26, followed by interim OS in 1H27. We estimate Akeso's current price reflects only **~\$4–5bn of global ivonescimab peak sales**, between our bear (~\$2–3bn) and base (~\$5–7bn) scenarios. We therefore see a tactical opportunity: our base case remains for HARMONi-3 SQ to meet its PFS endpoint, supported by strong HARMONi-2/HARMONi-6 China efficacy and, indirectly, AstraZeneca's recent \$2bn strategic investment in Summit. A positive PFS readout should support our **~\$6bn base case**. But PFS alone would not unlock the full upside. A miss could invalidate much of global 1L SQ and pressure NSQ expectations immediately, while meaningful upside may require convincing OS, **making 1H27 the more important valuation catalyst**.

The debate on ivo will outlive H-3. Summit's Phase III program extends beyond 2027, while Akeso has now scored outside lung: HARMONi-GI1 achieved statistically significant OS superiority over durvalumab + chemotherapy in 1L biliary tract cancer, with data due at ESMO 2026. Meanwhile, Pfizer, GSK, Revolution Medicines, Arcus/GORTEC and AZ/Daiichi Sankyo are testing ivonescimab with ADCs and targeted therapies across UC, SCLC, RAS-mutant tumors, GI cancers, TNBC and other settings. These collaborations broaden the question from “can ivo beat Keytruda in lung?” to “**can PD-1xVEGF become a preferred IO combination backbone?**” - a prospect that won't be easily extinguished with a hypothetically negative H-3.

China updates remain mixed but overall supportive, but increasingly less relevant to the global debate. HARMONi-2's OS HR improved to 0.73, while HARMONi-6 maintained a strong 0.66 OS HR, despite updated PFS HR moderating from 0.60 to 0.72. Global HARMONi OS has likewise improved from HR 0.79 to 0.76 with longer follow-up. These datasets reinforce ivonescimab's efficacy, but incremental China updates matter less from here as global positioning increasingly hinges on HARMONi-3 and HARMONi-7.

(Cont. on the next page)

Investment Implications

We rate Akeso Market-Perform with PT HK\$104.

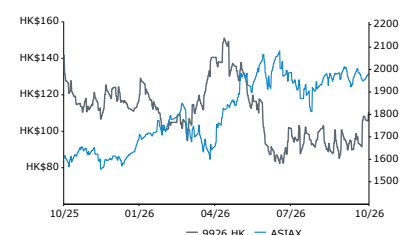
Reported EPS	F25A	F26E	F27E	Financials	F25A	F26E	F27E	CAGR	Valuation Metrics	F25A	F26E	F27E
9926.HK (CNY)	(1.23)	(0.98)	(0.49)	Revenues (M)	3,056	3,930	6,771	48.8%	EV/Sales (x)	22.8	17.7	10.3
OLD	--	0.70	1.78									

Source: Bloomberg, Bernstein estimates and analysis.

Close Date	7 Oct 2026			
9926.HK Close Price (HKD)	109.10			
Price Target (HKD)	104.00			
Upside/(Downside)	(5)%			
52-Week Range	156.00/80.20			
ASIAx	1,973.74			
FYE	Dec			
Div Yield	NA			
Market Cap (HKD) (M)	100,497			
EV (HKD) (M)	81,573			
Performance	YTD	1M	6M	12M
Absolute (%)	(3.5)	13.6	(22.3)	(22.8)
ASIAx (%)	20.7	(1.5)	18.0	22.1
Relative (%)	(24.1)	15.1	(40.3)	(44.9)

Source: Bloomberg, Bernstein estimates and analysis.

Price Performance, 1YR



DETAILS

Beyond ivo: interesting, but Akeso remains a single-product story (globally) for now. HER3 ADC, TROP2/Nectin-4 ADC, IL-4R α /ST2 bispecific, Alzheimer's bispecific AK152 and personalized mRNA vaccine AK154 broaden the pipeline, but all remain Phase 1/2 without data. For now, ivonescimab still determines Akeso's global upside, downside and investor debate.

Model and valuation update. 1) DCF valuation (1/3 in weight): Our updated DCF valuation of Akeso yields a one-year forward price per share of HK\$ 83. The updated TP is mainly based on the topline and margin modifications, as well as an explicit projection period extending until 2040. Specifically, we slowed down near-term product ramp-up and lowered license income to reflect a more realistic booking schedule. This yields HK\$74 per share as of today and HK\$83 per share one year forward. **2) Peak sales valuation (1/3 in weight):** We have raised the estimated P/S ratio of international peak sales from 3.5x to 4x to better align with global peers. Also, we adjusted Akeso's share of value from 33% to 31%, and put a more accurate AK112 peak sales estimate from \$7000 Mn to \$6266 Mn. These yield HK\$128 per share one year forward. **3) P/S valuation (1/3 in weight):** We adjusted 2-year forward P/S to 13x (vs. old 12.6x) to arrive at 1 year forward share price of HK\$102. Taking into account the one-year forward values derived from these three methodologies, we have assigned a one-year target price HK\$104 for Akeso.

Note: Summit and Revolution Medicines are covered by Jeffrey Walch, Pfizer is covered by Courtney Breen, GSK and AstraZeneca are covered by Justin Smith, and Daiichi Sankyo is covered by Miki Sogi.

MATTER AT HAND: HARMONI-3-SQ 2-STEP VALIDATION (OR INVALIDATION)

The next 6–9 months should determine ivonescimab's position in 1L squamous NSCLC, but we see HARMONI-3 SQ as a two-step rather than single-event catalyst. Final PFS is expected in 2H26 alongside an early look at OS, followed by a more informative interim OS analysis in 1H27. We think **PFS success is the base case** given consistent Chinese HARMONI-2/ HARMONI-6 efficacy and growing external validation of the asset; the harder question is the magnitude of benefit and, ultimately, its translation into OS. Our bull/base/bear scenarios imply ~\$10–13bn/\$5–7bn/\$2–3bn global ivonescimab peak sales, versus a China business that provides a meaningful valuation core regardless of the global outcome.

The recent strategic investment of \$2 Bn by AstraZeneca (covered by Justin Smith) provides additional, albeit indirect, comfort. This is not clinical evidence, and we would not infer that AZ had access to unblinded HARMONI-3 data. But we believe the size and timing of the investment are external validation of ivonescimab's value ahead of its most important catalyst. Besides, it provides a \$2.6 Bn cash runway for SMMT to continue through the global Ph3 trials.

However, even a convincingly positive PFS result would not lead to sustained upside on its own, in our view. There is asymmetric timing: a PFS miss in 2H26 could rapidly invalidate a substantial part of the global 1L squamous opportunity and generate negative read-through to nonsquamous disease. Conversely, a PFS win is unlikely to settle the full bull case unless the accompanying immature OS data already look unusually compelling. In our view, substantial fundamental upside may need to wait for the interim OS in 1H27 at the earliest.

EXHIBIT 1: HARMONI-3-sq readout schedule and our projected scenarios

Scenario	2H26 catalyst: PFS final analysis + a look at OS	1H27 catalyst: OS interim analysis
Bull	PFS HR < 0.6, significant; OS clearly positive	OS HR < 0.72, significant
Base	PFS HR 0.6 - 0.7, significant; OS positive trend	OS HR 0.72 - 0.8
Bear	PFS > 0.7 or not significant	OS HR > 0.8

Source: Bernstein analysis and estimates



EXHIBIT 2: Ivonescimab global peak sales estimates in the three scenarios

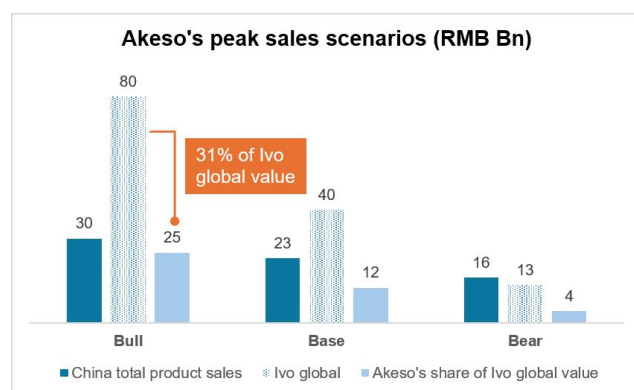
Scenario	NSCLC-sq	NSCLC-nsq	NSCLC total	NSCLC market share	Other indications	Total est. peak sales	% of Keytruda
Bull	>3 Bn	3-5 Bn	7-8 Bn	~35%	3-5 Bn	10-13 Bn	~40%
Base	1.5-2.5Bn	1-3 Bn	3-5 Bn	~20%	~2 Bn	5-7 Bn	~20%
Bear	0-0.5 Bn	0-1 Bn	1-2 Bn	<10%	~1 Bn	2-3 Bn	<10%

BBG cons. \$10 Bn

Akeso market price reflects \$4-5 Bn

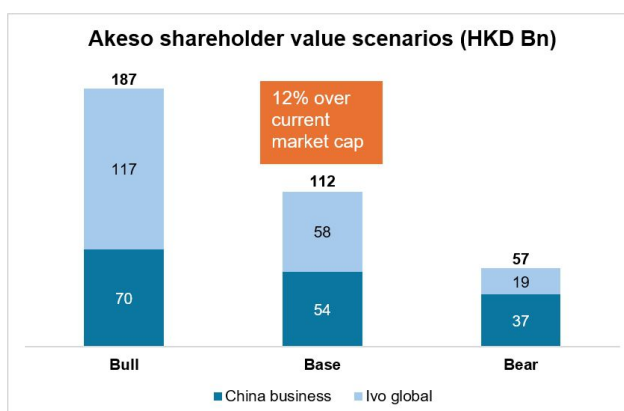
Source: Bloomberg, Bernstein analysis and estimates

EXHIBIT 3: Akeso's peak sales scenarios



Source: Bernstein analysis and estimates

EXHIBIT 4: Akeso shareholder value scenarios



Source: Bernstein analysis and estimates

CHINA TRIALS: MIXED UPDATES OVERALL POSITIVE, BUT DECREASING RELEVANCE FOR GLOBAL DEBATE

China-based ivonescimab trials continue to deliver encouraging updates, but their relevance to the global debate is fading as investor focus shifts to the upcoming global HARMONi-3 and HARMONi-7 readouts. In HARMONi (this one is global trial), the OS HR has steadily improved from 0.79 to 0.78 and most recently 0.76, reinforcing the durability of the survival benefit. However, the median OS of 16.8 months remains below OptiTROP-Lung04 (>21.5 months) and amivantamab plus chemotherapy (17.7 months), although it still compares favorably with other TROP2 ADCs such as Dato-DXd and Trodelvy. HARMONi-2 showed further OS improvement, with the HR improving from 0.777 to 0.73 and median OS reaching 30.8 months, exceeding PD-1 mAbs.

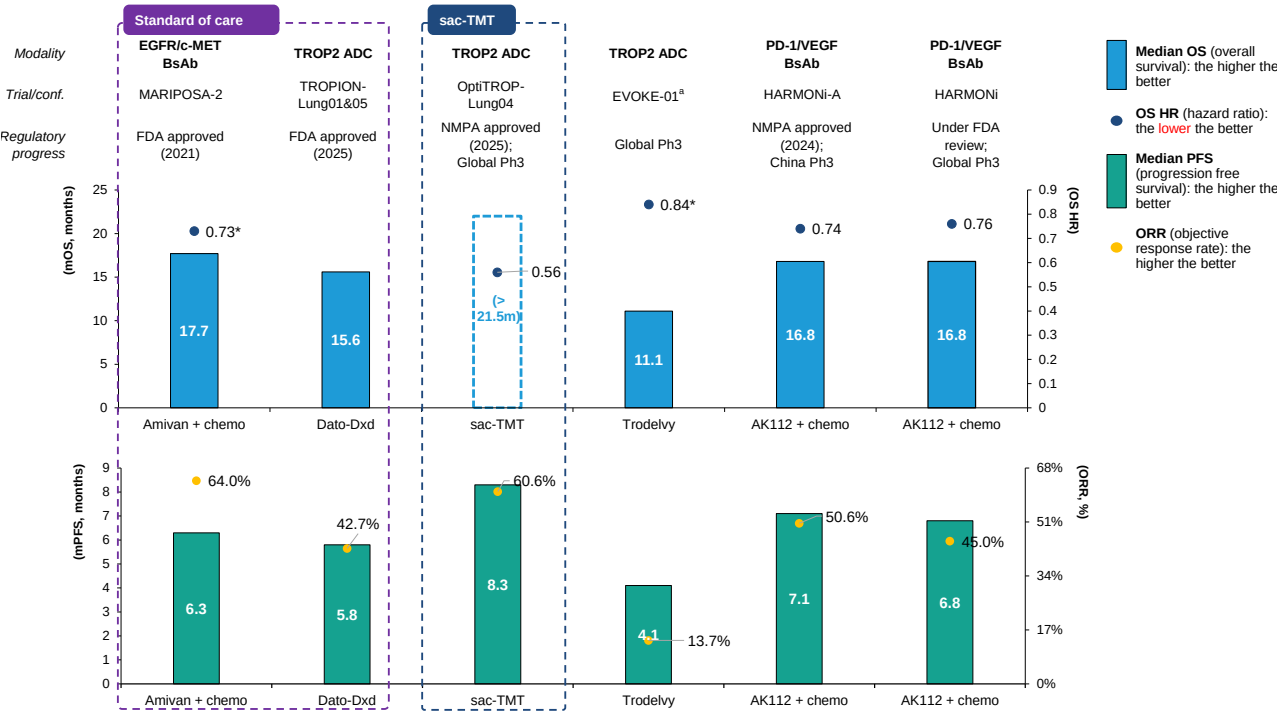
Meanwhile, HARMONi-6 produced mixed but overall positive updates. In HARMONi-6, the OS HR remained strong at 0.66 with a median OS of 27.9 months, above the 26.9-month OS reported in the TROP2 NMR+ cohort of TROPION-Lung02. Although the PFS HR worsened from 0.60 to 0.72 in the latest update, the difference in mPFS between experimental and control group are relatively stable, rather than declining ivonescimab efficacy. Overall, the China datasets remain supportive, but future global positioning will likely be determined by HARMONi-3 and HARMONi-7 rather than incremental updates from existing China studies (Exhibit 5-Exhibit 10).

EXHIBIT 5: **HARMONi: At longer follow-up, OS HR also shows a favorable trend from 0.79 to 0.76**

Analysis	Data release	Data cutoff	Median follow-up (m)	Median PFS (m)	Reported #		Calculated #	
					PFS HR	Median OS (m)	OS HR	OS data maturity
PFS primary analysis	Summit newsletter 2025-05	2024-07	22.3m	6.8m	0.52 (0.41-0.66) p<0.0001	immature	immature	
OS primary analysis; PFS total analysis	Summit newsletter 2025-05 / WCLC 2025	2025-04	29.7m		0.57 (0.46-0.71)	16.8m	0.79 (0.62 – 1.01) p=0.057	59.8%
OS LT follow-up analysis	WCLC 2025	2025-09	29.7m			16.8m	0.78 (0.62 – 0.98) p=0.0332	66.4%
Updated OS analysis	WCLC 2026	2026-06	29.9m			16.8m	0.76 (0.61 – 0.95) p=0.0151	

Source: WCLC, company disclosure, Bernstein analysis and estimates (Calculated # are estimates)

EXHIBIT 6: **HARMONi: In 2L+ EGFR-TKI failed EGFRm NSCLC setting, Akeso achieved 16.8m of OS**



Note: a. Only included ~3% EGFR-TKI failed pts, others are I/O failed; * Did not reach statistical significance
Source: Company disclosure, NEJM, WCLC, ESMO, Pharmcube, Bernstein analysis

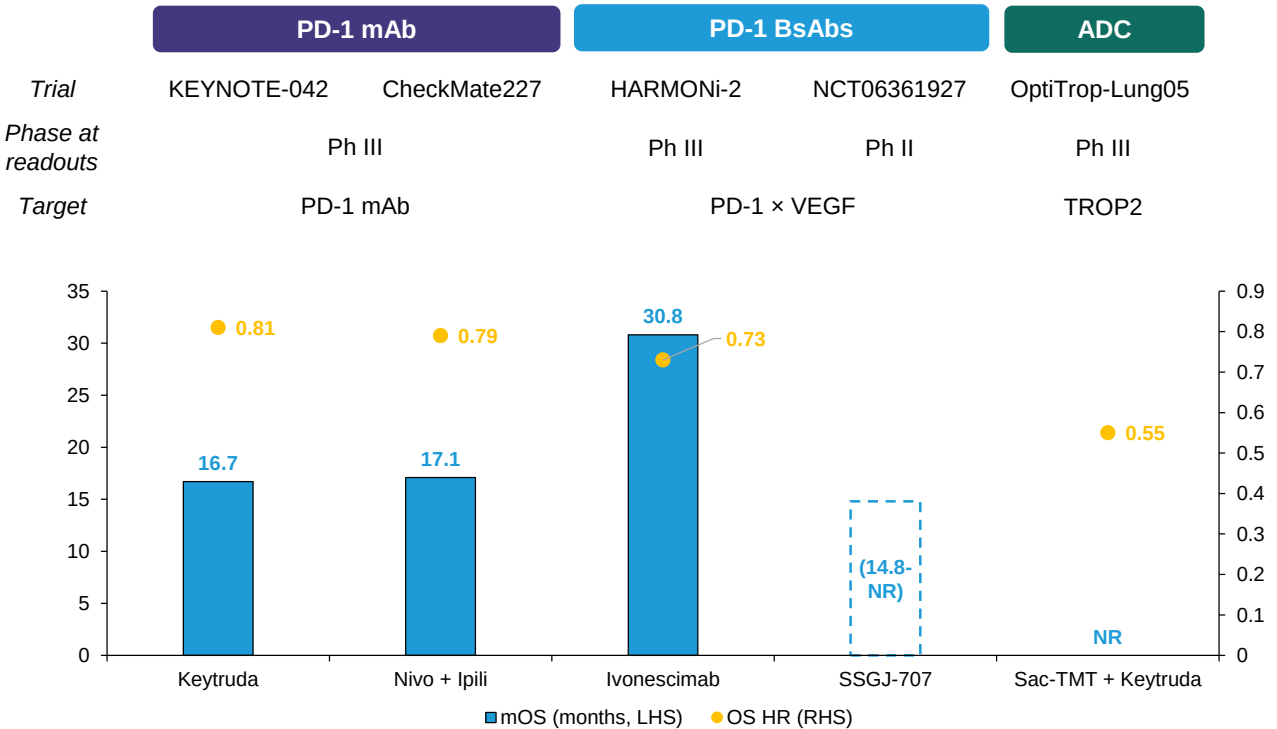


EXHIBIT 7: **HARMONI-2: OS HR shows a favorable trend to 0.73 at the 2nd interim analysis**

Analysis	Data release	Data cutoff	Median follow-up (m)	Median PFS (m)	PFS HR	Reported #		OS data maturity
						Median OS (m)	OS HR	
Primary analysis	WCLC 2024	2024-01	8.67m	11.14m	0.51 (0.38-0.69) p<0.0001	immature	immature	
Interim analysis	Summit newsletter	Unknown (reported 2025-04)					0.777	39.0%
2nd Interim analysis	WCLC 2026	2026-08	36m	11.1m	0.51 (0.38-0.69) p<0.0001	30.8m	0.73 (0.57-0.95) p=0.009	58.8%

Source: WCLC, company disclosure, Bernstein analysis and estimates (Calculated # are estimates)

EXHIBIT 8: **1L AGA- PD-L1+ (PD-L1 TPS≥1%) NSCLC: updated OS analysis for HARMONI-2 showed improved OS HR of 0.73 (s.s.) and numerically higher mOS compared to leading peers**

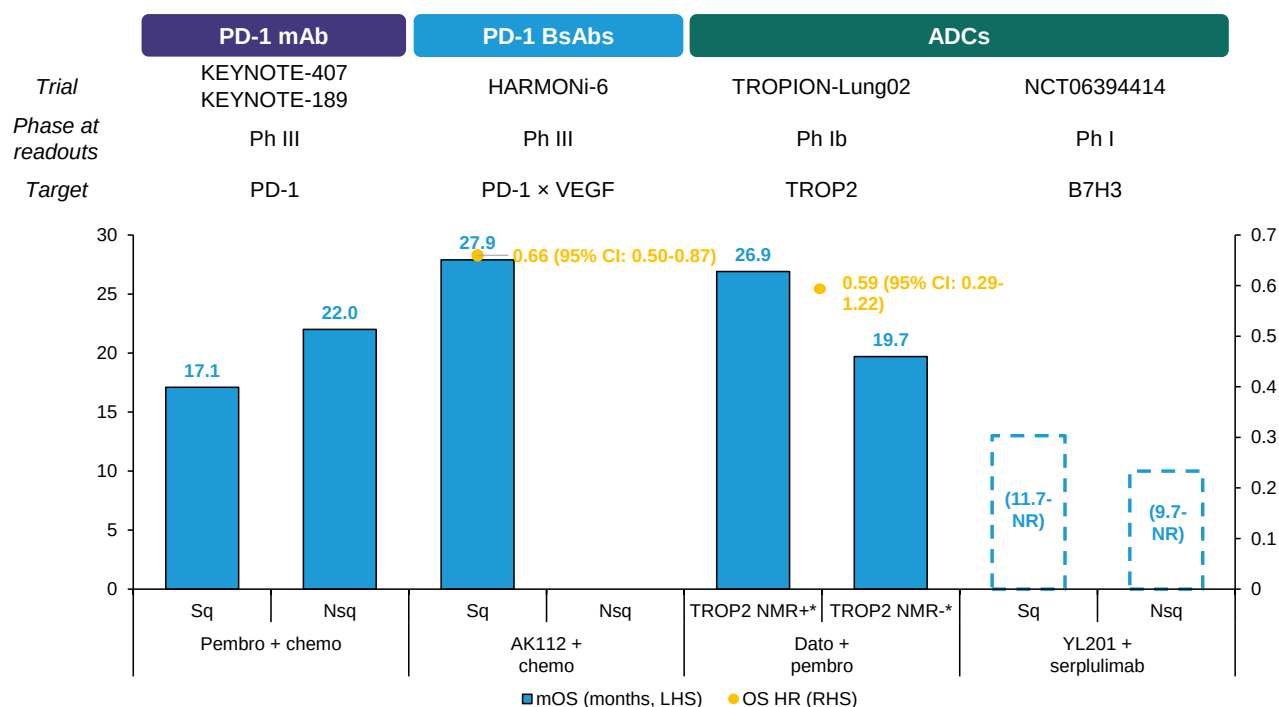


Source: Company disclosure, WCLC, NEJM, Lancet, Bernstein analysis

EXHIBIT 9: **HARMONI-6: Chemo combo achieved an OS HR of 0.66 vs Tis+chemo; PFS HR deteriorated to 0.72 from 0.6 in the latest PFS analysis**

Analysis	Data release	Data cutoff	Median follow-up (m)	Median PFS (m)	PFS HR	Reported #		OS data maturity
						Median OS (m)	OS HR	
Interim PFS analysis	ESMO 2025 / Lancet 2025	2025-02	10.3m	11.1m	0.60 (0.46-0.78) p<0.0001	immature	immature	20.3%
Interim OS analysis	ASCO 2026 / Lancet 2026	2026-02	21.4m			27.9m	0.66 p=0.0017	38.3%
NMPA approval and updated PFS analysis	2026-08	2025-09	17.02m	12.48m	0.72 (0.58-0.91) p=0.003			

Source: Lancet, NMPA. Bernstein analysis and estimates (Calculated # are estimates)

EXHIBIT 10: **Summary of OS for leading competitors in 1L PD-L1 all comer NSCLC by histology**

Note: * mOS in both sq and nsq patients

Source: ASCO, WCLC, NEJM, ClinicalTrials.gov, Bernstein analysis

WHY THE IVO AND PD-1 X VEGF DEBATE WILL LIVE ON MUCH LONGER

Existing SMMT trials will continue beyond 2027. Even after the SQ/NSQ readouts over the next 6–9 months, Summit Therapeutics's Phase III program stretches well beyond 2027.

Akeso scores outside lung. HARMONI-GI1 provides the first Phase III validation of ivonescimab beyond NSCLC: ivonescimab + chemotherapy achieved statistically significant and clinically meaningful OS superiority versus durvalumab + chemotherapy in 1L biliary tract cancer, while also meeting PFS and ORR endpoints. Full data will be presented as **LBA8 in an ESMO 2026 Presidential Symposium**. Akeso is also presenting ivonescimab studies across RCC, thymic, GI, pancreatic and other tumors, reinforcing a development strategy increasingly broader than NSCLC.

Meanwhile, more shots on goal from partners. Pfizer, GSK, Revolution Medicines, Arcus/GORTEC and, most recently, AstraZeneca/Daiichi Sankyo are exploring ivonescimab with ADCs and targeted therapies across urothelial cancer, SCLC, RAS-mutant tumors, GI cancers, breast cancer and other settings. GSK is combining ivonescimab with the B7-H3 ADC risvutatug rezetecan, while AstraZeneca's **\$2bn investment in Summit** accompanies collaborations around Sone-Ve and the broader oncology portfolio; AstraZeneca/Daiichi Sankyo subsequently announced a Datroway combination program starting directly with Phase III 1L TNBC. These partnerships are not clinical validation, but they broaden the debate from “**can ivonescimab beat Keytruda in lung?**” to “**can PD-1×VEGF become the preferred IO backbone for ADCs and targeted therapies?**” A negative HARMONI-3 could materially shrink the lung opportunity, but it will not settle that broader question.



EXHIBIT 11: **Beyond HARMONi-6, the next catalysts to watch include readouts on HARMONi-3 and PDUFA result of HARMONi**

Region	Trial name	NCT #	Primary completion	Timeline		
				1H26	2H26	1H27
				Company guidance		
China	HARMONi-6	NCT05840016	2025-02	Interim OS (mOS 27.9, OS HR 0.66)		Final OS (est.)
	HARMONi-GI6	NCT06951503	2027-01	Enrolling patients		
Global	HARMONi	NCT06396065	2025-04		PDUFA date: Nov 14, 2026	
	HARMONi-3 (sq)	NCT05899608	2028-12	Interim PFS, insignificant ^a	Final PFS, look at OS	Interim OS (independent of PFS)
	HARMONi-3 (nsq)	NCT05899608	2028-12			PFS analysis
	HARMONi-7	NCT06767514	2028-04	Enrolling patients		
	HARMONi-GI3	NCT07228832	2028-05	Enrolling patients		
	AK112 + RAS (Sponsor: Rev Meds)	NCT07397338	2029-05	Began enrolling patients in 1Q26		
	AK112 + Ris-Rez (Sponsor: GSK)	NCT07602855	2029-07		Initiated	
	AK112 + Padcev (Sponsor: Pfizer)	NCT07815665	2030-10		Initiated	
	AK112 + Casdatifan (Sponsor: Arcus)	NA	NA		Planned initiation	Initial data mid-2027
	AK112 + (ligufalimab) (Sponsor: GORTEC)	NCT07264075	2030-05	Expected to begin enrollment in 2Q26		

a) HARMONi-3's interim analysis was not statistically significant, and the study will continue as planned; primary completion dates are provided by Clinicaltrials.gov
Source: Clinicaltrials.gov, Bernstein analysis and estimates

EXHIBIT 12: **Akeso reported higher ORR, mPFS, and mOS compared to traditional PD-(L)1 + chemo therapy**

	1L SoC		Lancet		ASCO 2024	ESMO 2026 TBD	
Company	AstraZeneca		Merck		Akeso	Akeso	
Product	Durvalumab + Gem-Cis		Pembrolizumab + Gem-Cis		Ivonescimab + Gem-Cis	Ivonescimab + Chemo	
Target & Modality	PD-L1 + Gem-Cis		PD-1 + Gem-Cis		PD-1/VEGF + Gem-Cis	PD-1/VEGF + chemo	
Trial No.	TOPAZ-1 (NCT03875235)		KEYNOTE-966 (NCT04003636)		NCT05214482	HARMONi-GI1	
Phase	Phase 3		Phase 3		Phase 2	Phase 3	
Line of treatment	1L		1L		1L	1L	
Indication	Biliary tract cancer		Biliary tract cancer		Biliary tract cancer	Biliary tract cancer	
Intervention	Durvalumab+ Gem-Cis	PBO +Gem-Cis	Pembro+ Gem-Cis	PBO +Gem-Cis	Ivonescimab + Gem-Cis	Ivonescimab + Chemo	Durvalumab + Chemo
Number of enrollment	341	344	533	536	22		
Median follow-up	16.8m		25.6m		10.7m		
ORR	26.7%	18.7%	29%	29%	63.6%		
mPFS (months)	7.2	5.7	6.5	5.6	8.5		
PFS HR	0.75 (0.63-0.89, p=0.001)		0.86 (0.75-1, p=0.023)				
mOS (months)	12.8	11.5	12.7	10.9	16.8		
OS HR	0.8 (0.66-0.97, p=0.021)		0.83 (0.72-0.95, p=0.0034)			Interim OS statistically significant	
Grade ≥ 3 AE	79.3%	81.9%	85.0%	84.0%			
Grade ≥ 3 TRAE	63.3%	65.2%			86.4%		

Source: NEJM, Lancet, ESMO, Bernstein analysis



EXHIBIT 13: Ivonescimab combo of choice: China collaborations (Biokin, MediLink, Allink, Alphamab, TransThera, Virogin); Global collaborations (Revolution Medicines, GSK, Pfizer, Arcus Biosciences), and now adding AstraZeneca

依沃西 – 新疗法联用首选基石药物 (Combo of Choice)

全球肿瘤免疫新一代基石药物，潜在迭代多项适应症SOC

中国创新疗法联用

- 依沃西+EGFR/HER3 ADC NSCLC II期临床 (百利天恒)
- 依沃西+B7H3 ADC 实体瘤 (直联生物)
- 依沃西+FGFR2b ADC NSCLC (Allink)
- 依沃西+TROP2/HER3 ADC NSCLC (康宁杰瑞)
- 依沃西+替恩戈替尼 肝癌 (TransThera)
- 依沃西+溶瘤病毒 结直肠癌、肝癌 (Virogin)

全球创新疗法联用

- 依沃西+RAS(ON)i 多个实体瘤 (RAS突变NSCLC、胰腺癌和结直肠癌) I/II期 (Revolution Medicines)
- 依沃西+B7H3 ADC 多个实体瘤 (包括SCLC) (GSK)
- 依沃西+NECTIN-4 ADC VS 帕博利珠+EV 一线治疗尿路上皮癌 HARMONI-GU1 II/III期 (Pfizer)
- 依沃西+HIF-2 α 抑制剂 肾透明细胞癌 (Arcus Biosciences)

Clinical Trials Arena

First patient dosed with AK146D1 in Akeso's Phase II study

The study is part of Akeso's "IO2.0 + ADC2.0" approach, combining immunotherapy agents and antibody-drug conjugates.

Saling Debarma August 10, 2026

Source: Akeso

EXHIBIT 14: Ivonescimab global collaboration and expected timeline

Collaborator	Combo drug	Trial	Phase	Indication	Start/est. start	Completion
AstraZeneca / DS	Datroway	NA	Phase 3	1L TNBC	Planned	NA
AstraZeneca	Sone-Ve	NA	NA	GI cancers	Planned	NA
Pfizer	Padcev	HARMONI-GU1 (NCT07815665)	Phase 2/3	1L UC	2026-09	2030-10
GSK	Ris-Rez	EMBOLD PanTumor-103 (NCT07602855)	Phase 1/2	Solid tumor (incl. SCLC)	2026-09	2029-12
Revolution Medicines	RAS(ON) inhibitors: Daraxonrasib, Elironrasib, Zoldonrasib	NCT07397338	Phase 1/2	Solid tumor (RAS mut NSCLC, PDAC, CRC)	2026-01	2029-05
Arcus Biosciences	Casdatifan	NA	Phase 3	1L ccRCC (clear cell renal cell carcinoma)	Planned (Before EoY)	NA (initial data mid-2027)
GORTEC	Ligufalimab	NCT07264075	Phase 3	HNSCC	2026-05	2030-05

Source: Clinicaltrials.gov, company disclosure, Bernstein analysis

BEYOND IVO: INTERESTING PIPELINE BUT MUCH TOO EARLY

Beyond ivonescimab, Akeso has begun highlighting a broader next-generation pipeline, including HER3 ADC **AK138D1**, Trop2/ Nectin-4 ADC **AK146D1**, IL-4R α /ST2 bispecific **AK139**, A β /BBB receptor bispecific **AK152** for Alzheimer's disease, and personalized mRNA vaccine **AK154**. These assets span oncology, immunology, and neurodegenerative diseases. However, all five programs remain in Phase 1 or Phase 2 development, with limited clinical efficacy data available so far. While the scientific rationale appears promising, we believe it is still too early to ascribe meaningful valuation to these assets, and investor focus is likely to remain centered on ivonescimab.

EXHIBIT 15: **Beyond AK112, the next generation drugs for Akeso include AK138D1, AK139, AK146D1, AK152, and AK154**

Product	Target & Modality	NCT #	Location	Phase	Mono/Combo	Indication	Study start	Primary completion
AK138D1	HER3 ADC	NCT07560124	China	Phase 1/2	Mono or combo with AK112	Breast cancer	2026-06	2028-06
		NCT07623356	China	Phase 1/2	Mono or combo with AK112	NSCLC	2026-07	2028-06
		NCT06730386	Australia	Phase 1	Mono	Solid tumor	2025-02	2028-02
		NCT07281326	China	Phase 1	Mono	Solid tumor	2025-10	2026-10
AK139	IL-4Ra/ST2 BsAb	NCT06947109	China	Phase 1	Mono	Healthy subjects	2025-05	2026-01
		NCT07755371	China	Phase 2	Mono	CRSwNP	2026-08	2027-04
		NCT07436234	China	Phase 2	Mono	Seasonal allergic rhinitis	2026-03	2026-09
		NCT07502222	Likely China	Phase 2	Mono	Moderate-to-severe AD	2026-04	2027-11
		NCT07436221	China	Phase 2	Mono	Asthma	2026-02	2026-12
AK146D1	Trop2/Nectin-4 ADC	NCT07669779	China	Phase 2	Combo with AK112/Others	NSCLC	2026-07	2027-08
		NCT07591090	China	Phase 2	Mono or combo with AK112	Breast cancer	2026-07	2027-09
		NCT07636772	China	Phase 2	Mono or combo with AK112	Urothelial cancer	2026-06	2028-08
		NCT06929663	Australia	Phase 1	Mono	Solid tumor	2025-07	2026-11
		NCT07067567	China	Phase 1	Mono	Solid tumor	2025-08	2026-11
AK152	A β /BBB-expressed receptor BsAb	NCT07301502	China	Phase 1	Mono	Alzheimer' s Disease	2025-12	2027-06
AK154	Personalized mRNA vaccine	NCT06913218	China	Phase 1	Mono or in combo with AK104/AK112	PDAC	2025-07	2028-02

Source: Clinicaltrials.gov, Bernstein analysis

MODEL UPDATES

DCF valuation (1/3 in weight): Our updated DCF valuation of Akeso yields a one-year forward price per share of HK\$ 83.

The updated TP is mainly based on the topline and margin modifications, as well as an explicit projection period extending until 2040. Accordingly, the company's estimated total EV is valued at CNY53 Bn, with net cash surplus of CNY9 Bn. Consequently, the total equity is valued at CNY57 Bn. This yields HK\$74 per share as of today and HK\$83 per share one year forward.

Peak sales valuation (1/3 in weight): We have raised the estimated P/S ratio of international peak sales from 3.5x to 4x to better align with global peers. Also, we adjusted Akeso's share of value from 33% to 31%, and put a more accurate AK112 peak sales estimate from \$7000 Mn to \$6266 Mn. These yield HK\$128 per share one year forward.

P/S valuation (1/3 in weight): We have also adjusted 2-year forward P/S to 13x (vs. old 12.6x) to arrive at 1 year forward share price of HK\$102. Taking into account the one-year forward values derived from these three methodologies, we have assigned a one-year target price HK\$104 for Akeso.



EXHIBIT 16: **Akeso - DCF valuation**

DCF - Akeso													
(RMB in Millions, Unless Otherwise Indicated)													
	2024	2025	2028	2029	2030	2033	2034	2035	2036	2037	2038	2039	2040
	Act.	Act.	Est.	Est.	Est.	Est.	Est.	Est.	Est.	Est.	Est.	Est.	Est.
Revenue	2,124	3,056	11,055	15,988	20,067	28,307	29,199	29,223					
Annual Growth %	-53%	44%	63%	45%	26%	9%	3%	0%					
EBIT	(364)	(685)	435	2,008	4,321	10,494	11,456	12,226					
Annual Growth %	-116%	88%	-234%	362%	115%	24%	9%	7%					
Margin %	-17%	-22%	4%	13%	22%	37%	39%	42%					
Less: Income Taxes	-	-	65	301	648	1,574	1,718	1,834					
Unlevered Net Income	(364)	(685)	370	1,707	3,673	8,920	9,738	10,392					
Plus: Depreciation and Amortization	194	262	404	490	562	892	1,024	1,153					
Less: Capital Expenditure	(586)	(777)	(1,658)	(1,599)	(2,007)	(2,831)	(2,920)	(2,922)					
Less: Additions to Intangibles	(8)	(10)	37	53	67	94	97	98					
Less: Increase in Working Capital	(200)	(606)	(900)	(1,325)	(986)	(396)	(235)	174					
Unlevered Free Cash Flow	(964)	(1,816)	(1,748)	(674)	1,310	6,680	7,704	8,893	9,961	10,957	11,833	12,543	13,170
Annual Growth %	N.M.	88%	9%	-61%	N.M.	61%	15%	15%	12%	10%	8%	6%	5%
Discount Factor - End-of-Period Convention	(1.8)	(0.8)	2.2	3.2	4.2	7.2	8.2	9.2	10.2	11.2	12.2	13.2	14.2
Present value of FCF	0	0	(1,356)	(467)	810	2,934	3,020	3,111	3,110	3,053	2,943	2,784	2,609
Cumulative PV of FCF	0	0	(2,905)	(3,372)	(2,562)	4,076	7,096	10,207	13,317	16,370	19,313	22,097	24,706
Terminal Value													141,391
PV of Terminal Value													28,008
Total Corporate Value													52,713
Less: Debt, Preferred Capital, Minority Interest													4,642
Add: Cash and Investments													9,172
Implied 12-Month Forward EV(RMB Mn)													59,064
Shareholder Value (RMB Mn)													57,242
Shareholder Value (HKD Mn)													66,876
Implied Core Value per Share Today (HK\$)													74
Implied 12-Month Forward Core Value per Share (HK\$)													83

Source: Company disclosure, Bernstein analysis and estimates

EXHIBIT 17: **Peak sales valuation - Akeso**

Domestic peak sales	
Estimated P/S ratio	2.0
2033E domestic sales estimate (RMB Mn)	23,418
Shareholder value from domestic sales (RMB Mn)	46,836
International peak sales	
Estimated P/S ratio	4.0
AK112 peak sales estimates 2036E (US\$ Mn)	6,266
Total peak sales estimates (RMB Mn)	42,071
Akeso's share of value	31%
Akeso's equivalent sales (RMB Mn)	13,042
Shareholder value from international sales (RMB Mn)	52,168
Total shareholder value (RMB Mn)	99,004
Shareholder value per share today (RMB)	98
Implied 12-month shareholder value per share (RMB)	110
Implied 12-month shareholder value per share (HK\$)	128

Source: Bernstein analysis and estimates

EXHIBIT 18: **P/S and overall valuation - Akeso**

Peak sales based valuation - Akeso	
Implied Core Value per Share Today (HKD)	114
Implied 12-Month Forward Core Value per Share (HKD)	128
P/S method - Akeso	
Target 2-year forward P/S ratio	13.0
2027E sales estimate (RMB Mn)	6,771
Shareholder value (RMB Mn)	88,024
Shareholder value per share today (HKD)	91
Implied 12-month shareholder value per share (HKD)	102
Blended method - Akeso	
DCF method - Implied 12-month target price	83
Weight of valuation	33%
P/S method - Implied 12-month target price	102
Weight of valuation	33%
Peak sales based valuation	128
Weight of valuation	33%
Weighted average valuation	104

Source: Bernstein analysis and estimates

APPENDIX - FINANCIAL FORECASTS

EXHIBIT 19: Akeso's Income statement

RMB in Millions	2024	2025	2026E	2027E	2028E	2029E	2030E	2031E	2032E	2033E	2034E	2035E
Revenue	2,124	3,056	3,930	6,771	11,055	15,988	20,067	23,237	25,872	28,307	29,199	29,223
Gross Profit	1,835	2,404	2,906	5,204	8,789	13,090	16,878	20,012	22,794	25,029	26,371	26,469
SG&A expenses	(1,205)	(1,733)	(2,009)	(3,134)	(4,636)	(6,230)	(7,085)	(7,658)	(8,353)	(8,899)	(8,955)	(8,723)
Research and development expenses	(1,188)	(1,575)	(1,655)	(2,612)	(3,915)	(5,071)	(5,668)	(6,046)	(6,155)	(5,855)	(6,156)	(5,739)
Others	194	219	197	219	197	219	197	219	197	219	197	219
EBIT	(364)	(685)	(561)	(324)	435	2,008	4,321	6,527	8,482	10,494	11,456	12,226
Non-operating expense	(137)	(456)	(341)	(128)	(152)	(181)	(163)	(132)	(62)	-	-	-
Pretax Income (Loss)	(501)	(1,141)	(902)	(452)	283	1,827	4,159	6,395	8,420	10,494	11,456	12,226
Tax	-	-	(5)	-	(42)	(274)	(624)	(959)	(1,263)	(1,574)	(1,718)	(1,834)
Net Income	(501)	(1,141)	(907)	(452)	241	1,553	3,535	5,436	7,157	8,920	9,738	10,392
Attributable to SHs	(515)	(1,113)	(885)	(441)	235	1,515	3,449	5,303	6,983	8,703	9,501	10,139
Minority Interests	13	(28)	(22)	(11)	6	38	86	132	174	217	237	253
EPS attributable to parent (basic & diluted)	(0.6)	(1.2)	(1.0)	(0.5)	0.3	1.7	3.8	5.9	7.7	9.6	10.5	11.2
YoY Growth												
Revenue	-53%	44%	29%	72%	63%	45%	26%	16%	11%	9%	3%	0%
Gross Profit	-58%	31%	21%	79%	69%	49%	29%	19%	14%	10%	5%	0%
EBIT	N.M.	N.M.	N.M.	N.M.	N.M.	362%	115%	51%	30%	24%	9%	7%
Pretax	N.M.	N.M.	N.M.	N.M.	N.M.	545%	128%	54%	32%	25%	9%	7%
Net Income	N.M.	N.M.	N.M.	N.M.	N.M.	545%	128%	54%	32%	25%	9%	7%

Source: Company disclosure, Bernstein analysis and estimates

EXHIBIT 20: Akeso's Balance sheet

RMB in Millions	2024	2025	2026E	2027E	2028E	2029E	2030E	2031E	2032E	2033E	2034E	2035E
Cash & Cash Equivalents	2,916	1,280	176	32	7	(1)	(12)	(27)	1,400	8,273	16,243	25,486
Inventories	707	932	1,403	1,717	2,173	2,382	2,621	2,650	2,530	2,695	2,324	2,264
Prepayments, other receivables and other assets	641	1,174	1,126	1,866	3,030	4,391	5,535	6,501	7,328	7,806	7,856	7,652
Financial assets at fair value through profit or loss	426	349	349	349	349	349	349	349	349	349	349	349
Other Current Assets	4,002	7,543	7,543	7,543	7,543	7,543	7,543	7,543	7,543	7,543	7,543	7,543
Total Current Assets	8,692	11,277	10,596	11,507	13,102	14,663	16,036	17,016	19,149	26,666	34,315	43,294
Property, plant and equipment	3,231	3,880	4,376	5,267	6,531	7,641	9,076	10,720	12,505	14,400	16,242	17,949
Right of use assets	320	319	302	285	270	256	242	229	217	205	194	184
Other L-T Assets	513	524	506	483	452	412	368	325	283	244	212	188
Total Assets	12,755	16,000	15,780	17,543	20,356	22,972	25,722	28,290	32,155	41,515	50,962	61,614
Short term debt	535	586	514	2,728	5,231	6,729	5,642	2,808	-	-	-	-
Accounts Payables, other payables, and accruals	1,140	1,603	2,385	3,006	3,726	3,970	4,368	4,417	3,794	1,686	3,487	3,396
Other Current Liabilities	11	7	7	7	7	7	7	7	7	2,362	7	7
Total Current Liabilities	1,687	2,195	2,906	5,740	8,963	10,705	10,016	7,232	3,801	4,049	3,493	3,403
Long-Term Liabilities	4,315	4,859	4,123	3,420	2,692	1,938	1,761	1,578	1,578	1,578	1,578	1,578
Total Liabilities	6,001	7,054	7,672	9,804	12,299	13,286	12,421	9,453	6,022	6,270	5,716	5,625
Shareholders' Equity	6,753	8,946	8,108	7,739	8,057	9,685	13,301	18,837	26,132	35,245	45,247	55,989
Total Liabilities & Shareholders' Equity	12,755	16,000	15,780	17,543	20,356	22,972	25,722	28,290	32,155	41,515	50,962	61,614

Source: Company disclosure, Bernstein analysis and estimates

EXHIBIT 21: Akeso's Cash flow statement

RMB in Millions	2024	2025	2026E	2027E	2028E	2029E	2030E	2031E	2032E	2033E	2034E	2035E
Profit before tax	(501)	(1,141)	(902)	(452)	283	1,827	4,159	6,395	8,420	10,494	11,456	12,226
Depreciation & Amortization	194	262	312	344	404	490	562	658	770	892	1,024	1,153
Other	(220)	(69)	440	(357)	(868)	(1,522)	(1,517)	(1,780)	(2,415)	(1,726)	(1,625)	(1,240)
Cash Flow From Operations	(528)	(948)	(150)	(465)	(181)	795	3,204	5,273	6,775	9,660	10,854	12,138
Capex	(586)	(777)	(786)	(1,219)	(1,658)	(1,599)	(2,007)	(2,324)	(2,587)	(2,831)	(2,920)	(2,922)
Other	(937)	(3,336)	13	23	37	53	67	78	86	94	97	98
Cash Flow From Investments	(1,523)	(4,113)	(773)	(1,196)	(1,621)	(1,545)	(1,940)	(2,246)	(2,501)	(2,736)	(2,822)	(2,825)
Equity Issued (Buyback)	2,851	3,205	-	-	-	-	-	-	-	-	-	-
Debt Issued (Repaid)	1,319	1,836	514	2,214	2,503	1,498	(1,087)	(2,834)	(2,808)	-	-	-
Other	(780)	(1,583)	(694)	(697)	(725)	(757)	(188)	(209)	(39)	(51)	(63)	(70)
Cash Flow From Financing	3,389	3,458	(180)	1,517	1,777	742	(1,275)	(3,043)	(2,846)	(51)	(63)	(70)
Net Effect of Exchange Rate Changes	35	(33)	0	0	0	0	0	0	0	0	0	0
Net Change in Cash	1,373	(1,636)	(1,103)	(144)	(25)	(8)	(10)	(15)	1,427	6,873	7,968	9,244
Beginning Cash	1,542	2,916	1,279	176	32	7	(1)	(12)	(27)	1,400	8,273	16,243
Ending Cash	2,916	1,279	176	32	7	(1)	(12)	(27)	1,400	8,273	16,242	25,486

Source: Company disclosure, Bernstein analysis and estimates



BERNSTEIN TICKER TABLE

7 Oct 2026					TTM	Reported EPS				Gross Profit CAGR			
			Closing	Price	Rel.								
Ticker	Rating	Cur	Price	Target	Perf.		Cur	2025A	2026E	2027E	2025A	2026E	2027E
9926.HK (Akeso)	M	HKD	109.10	104.00	(44.9)%		CNY	(1.23)	(0.98)	(0.49)	60.1%	68.5%	64.4%
OLD				130.00					0.70	1.78			
ASIA			1,973.74										

PRICE TARGET CHANGE / ESTIMATE CHANGE IN BOLD

O - Outperform, M - Market-Perform, U - Underperform, NR - Not Rated, CS - Coverage Suspended

Source: Bloomberg, Bernstein estimates and analysis.

DISCLOSURE APPENDIX

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VALUATION METHODOLOGY**Akeso Inc**

We use a blended approach combining a DCF valuation (HK\$83, applying a WACC of 12% and a 2.5% terminal growth rate) with 33% weight, P/S multiples (HK\$102, using a 2-year forward P/S ratio of 13x) with 33% weight, and price to peak sales (HK\$128, using 2x for domestic sales, 4x for international sales) with 33% weight, leading to a one-year price target of HK\$104.

RISKS**Akeso Inc**

Downside risks: 1) Trial results may turn out worse than expected; 2) domestic sales ramp-up may fall below expectations; 3) global license income may not materialize.

Upside risks: 1) FDA approval of HARMONi (long-term global revenue likely would not change much) 2) Potential 2nd BD of AK112: still in the picture, but won't change fundamentals and most likely be a temporary jolt, in our view.

RATINGS DEFINITIONS, BENCHMARKS AND DISTRIBUTION**EQUITY RATINGS DEFINITIONS****Bernstein brand**

The Bernstein brand rates stocks based on forecasts of relative performance for the next 12 months versus the S&P 500 for stocks listed on the U.S. and Canadian exchanges, versus the Bloomberg Europe Developed Markets Large and Mid Cap Price Return Index EUR (EDME) for stocks listed on the European exchanges and emerging markets exchanges outside of the Asia Pacific region, versus the Bloomberg Japan Large and Mid Cap Price Return Index USD (JPL) for stocks listed on the Japanese exchanges, and versus the Bloomberg Asia ex-Japan Large and Mid Cap Price Return Index (ASIAX) for stocks listed on the Asian (ex-Japan) exchanges -unless otherwise specified.

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- Outperform: Stock will outpace the market index by more than 15 pp
- Market-Perform: Stock will perform in line with the market index to within +/- 15 pp
- Underperform: Stock will trail the performance of the market index by more than 15 pp

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Not Covered (NC) denotes companies that are not under coverage.

Bernstein brand stock ratings are based on a 12-month time horizon.

Autonomous brand – common stocks

The Autonomous brand rates common stocks as indicated below. As our benchmarks we use the Bloomberg Europe 600 Financials Price Return Index (E600BK) and Bloomberg Europe Dev Mkt Financials Large and Mid Cap Price Ret Index EUR (EDMFI) index for developed European banks and Payments, the Bloomberg Europe 600 Insurance Price Return Index (E600IN) for European insurers, the S&P 500 and S&P Financials for US banks and Payments coverage, S5LIFE for US Insurance, the S&P Insurance Select Industry (SPSIINS) for US Non-Life Insurers coverage, the Bloomberg Emerging Markets Financials Large, Mid and Small Cap Price Return Index (EMLSF) for emerging market banks and insurers and Payments, and the Bloomberg Japan Financials Large & Mid Cap Price Return Index (JPFILM) for Japanese Financials. Ratings are stated relative to the sector (not the market).

The Autonomous brand has three categories of common stock ratings:

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- Neutral (N): Stock will perform in line with the market index to within +/- 10 pp
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Not Rated: A rating assigned when the stock cannot be accurately valued, or the performance of the company accurately predicted, at the present time. The covering analyst may continue to publish research reports on the company to update investors on events and developments.

Those denoted as 'Feature' (e.g., Feature Outperform FOP, Feature Under Outperform FUP) are our core ideas.

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- Outperform (OP): The total return of the preferred instrument is expected to outperform preferred securities of other issuers operating in similar sectors or rating categories over the next six months.
- Neutral (N): The total return of the preferred instrument is expected to perform in line with preferred securities of other issuers operating in similar sectors or rating categories over the next six months.
- Underperform (UP): The total return of the preferred instrument is expected to underperform preferred securities of other issuers operating in similar sectors or rating categories over the next six months.

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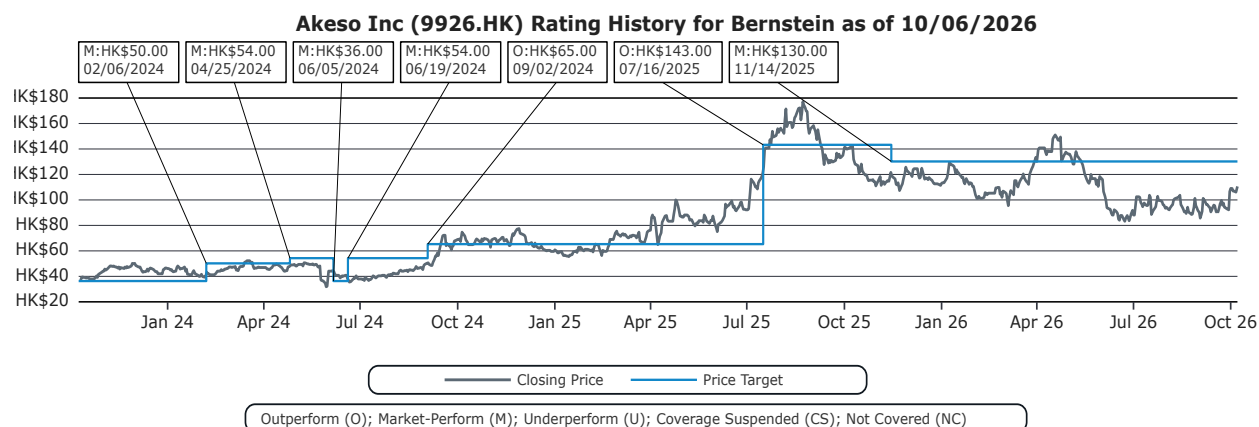
DISTRIBUTION OF EQUITY RATINGS/INVESTMENT BANKING SERVICES

Equity Rating	Market Abuse Regulation (MAR) and FINRA Rating Category	Global Rating Distribution	Investment Banking Relationships*
Outperform	BUY	52.3%	14.2%
Market-Perform (Bernstein Brand) Neutral (Autonomous Brand)	HOLD	35.6%	16.1%
Underperform	SELL	12.1%	13.6%

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As of September 30, 2026. All figures are updated quarterly.

PRICE CHARTS / RATINGS AND PRICE TARGET HISTORY



All price target and closing price data in the chart(s) above are denominated in the currency noted in the Ticker Table of this report.

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